

FIRST SEMESTER DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE

FINANCIAL ACCOUNTING I**MODEL QUESTION PAPER**

Time: 3 hours

Maximum Marks: 75

PART A**I. Answer all questions in one word or one sentence. Each question carries one mark.**

1	In accounting transactions and events of ----- nature are recorded.	M1.01	R
2	Withdrawal of money or goods by proprietor is known as-----	M1.01	R
3	The fact that a business is separate from its owner is best exemplified by the ----- concept.	M1.02	R
4	State the Accounting equation.	M1.02	R
5	Issued a cheque for Rs.8000/- to pay rent. The account to be debited is-----	M1.04	R
6	A concept that a business enterprise will not be sold or liquidated in near future is known as -----	M1.02	R
7	The ledger column that links the entry with journal is called as --- -----	M2.01	R
8	Credit purchase of goods should be recorded in -----	M3.01	R
9	Petty cash book records-----	M4.03	R

(9 x 1 = 9 marks)

PART B**II Answer any eight questions from the following. Each question carries 3 marks**

1	Distinguish between book keeping and accounting.	M1.01	R
2	Write a note on money measurement concept.	M1.02	U
3	State the rules for debit and credit.	M1.03	R
4	Describe the convention of consistency.	M1.02	R
5	State the purpose of preparing trial balance.	M2.03	R
6	How will you classify ledger accounts?	M2.02	R

7	From the following details prepare the account of Mr. Jose as it would appear in the ledger of Mr. Mani. 01/3/20 - credit balance b/d 40000/- 05/3/20- purchased goods from Jose 20000/- 08/3/20- goods returned to Jose 4000/- 10/3/20- sold goods to Jose 28000/- 15/3/20- goods returned by Jose 1000/- 19/3/20- Issued cheque 27000 to Jose and was allowed discount 2000/-	M2.02	U
8	Describe the methods of preparing trial balance.	M2.03	R
9	List out the advantages of subsidiary journals.	M3.01	R
10	Define imprest system of cash book.	M4.03	R

(8 x 3 = 24 Marks)

PART C

Answer all questions. Each question carries seven marks

III	Enter the following transactions in the journal of Mr. Anand for the month of July 2019. Anand commenced business with cash Rs.5000/- Opened a bank account 1500/- Brought machinery from ABC Ltd for 7000/- Paid for carriages 75/- Bought goods from Thomas and Company 12000/- Cash sales 5500/- Sold goods to Ramesh on credit Rs.2750/- Bought of Menon and Company 750/- Paid wages 550/- Returned goods to Thomas and Company 1200/- Paid sundry expenses 140/- Stationery articles purchased for cash 240/- Received goods returned by Ramesh 275/- OR Journalize the following . Ramlal commenced business with cash 7500/- Purchased office furniture 600/- Purchased office stationery 50/- Purchased goods 1200/- Bought from ABC goods 1850/- Sold goods on credit to Amal 725/- Cash sales 128/- Paid for repair of furniture 15/- Sold Ranjith goods for cash 420/- Paid ABC 350/- Amal remitted cash on account 425/-	M1.04	U
IV		M1.04	U

	Cash taken for personal use 100/- Paid rent of building to landlord 250 Received commission 200/-		
V	Journalize the following and prepare ledger and trial balance. Aravind commenced business with cash 15000/- Bought goods for cash 4000/- Purchased machinery 3200/- Opened bank account 6000/- Sold goods for cash 9000/- Cash sales 4500/- Purchased goods and paid by cheque 2500/- Paid into bank 2800/- Received commission 600/- Paid salary by cheque 900/- OR	M2.02	U
VI	From the following balances prepare trial balance as on 31-12-2020 Furniture 640, buildings 7590, bad debts (dr) 125, stock 3460, purchases 5575, creditors 2500, advertising 450, interest (dr) 118, insurance 1250, general charges 782, salaries 3300, motor vehicle 6250, capital 12890, debtors 3800, bills payable 200, sales return 200, sales 15450, overdraft (cr) 2850, cash 650, purchases return 125, commission 175.	M2.03	U
VII	Prepare purchase day book. Purchased from Boots India 40 pairs of gents shoes Rs.200/- 20 pairs of children shoes Rs.120/- each trade discount 10% Purchased from Canara Shoe Mart 30 pairs of chappals @ 130 20 pairs of ladies chappals Rs.180/- less discount 10% Purchased from Bata India Ltd 10 pairs of children shoes Rs.125/- 50 pairs canvas shoes Rs.325. less discount 10% OR	M3.02	U
VIII	Prepare sales return book. Indo Electricals, Ernakulam Returned 5 nos electric iron @ Rs/200/- Returned 5 CFL Rs.125/- Bright Electricals Trichur. Returned 2 table fans @ 900/- 1 ceiling fan @ Rs.1700/- National Electrical Calicut. 1 DP Switch @ Rs.125/ each 3 main switch Rs.400/- each	M3.02	U

IX	Record the following transactions of Mr.Sunder in his cash book (Single column) and bring down the balance; Commenced business with cash 8000 Bought office furniture for cash 1500 Cash purchase of goods 2800 Cash received on sales 1750 Received from Babu on account 800 Received from Rahul on account 500 Paid to Mohan cash 1250 Paid rent by cash 125 Paid salaries 500 OR From the following prepare double column cash book. Cash in hand 5000/- Purchased goods for cash 5000/- Wages paid 500/- Cash sales 2000/- Cash withdrawn from bank 2500/- Capital introduced 25000/- Cash paid to Anil 4950/- discount allowed by him 50/- Cash received from Abraham 3940/- discount allowed to him 40/-	M4.02	U
X		M4.02	U
XI	Prepare suitable day book. Sold on credit to Anju Electricals 10 water heater @1100/- 5 electric stove @1200/- Sold to Amina agencies 5 ceiling fan @900/- 4 table fan @1100/- Sold to Anil agencies 2 ceiling fans for cash @900/- Sold to Narmada electrical 10 stoves @1000/- OR From the following prepare suitable day book . Returned to Boots India Pvt Ltd 5 chappals @ 125/- each 2 shoe @625/- each Returned to Flex chappals 3 ladies chappal @325/- each 3 shoes @275/- each Returned to National Chappals 4 children shoe @175/- each 2 chappals @ 650/ each	M3.02	A
XII		M3.02	A

XIII	Enter the following transactions in a suitable cash book. 1/4/15 cash 2500 Bank 10000 2/4/15 paid into bank 1000 4/4/15 purchased furniture by cheque 2000 8/4/15 cash purchase 500 12/4/15 received from Manoj 980, discount allowed 20. 14/4/15 cash sales 4000 16/4/15 paid to Aswin by cheque 1450 and discount received 50 19/4/15 deposited into bank 4000 23/4/15 withdrawn from bank for domestic use 600 24/4/15 received cheque from Rahim 1430 and discount 20 26/4/15 withdraw cash from bank for office use 2000 30/4/15 paid rent by cheque 800 OR Mr. Anand maintains a columnar Petty Cash Book on the Imprest. The imprest amount is Rs.400. From the information, show how his petty cash book would appear for the week ended 12th September 2015 . Also write up the necessary ledger accounts.	M4.02	A																																				
XIV	<table><tr><td>Sept 2015</td><td>Rs.Ps.</td></tr><tr><td>15 balance in hand</td><td>125.90</td></tr><tr><td>„ Received from cashier to make up the imprest</td><td></td></tr><tr><td>„ Postage</td><td>15.40</td></tr><tr><td>„ Stationary</td><td>30.60</td></tr><tr><td>„ Entertainment</td><td>8.50</td></tr><tr><td>„ Travelling expenses</td><td>15.50</td></tr><tr><td>7 Miscellaneous expenses</td><td>3.50</td></tr><tr><td>„ Entertainment</td><td>8.40</td></tr><tr><td>„ Repairs</td><td>25.40</td></tr><tr><td>„ Postage</td><td>15.60</td></tr><tr><td>10 Entertainment</td><td>11.70</td></tr><tr><td>„ Travelling</td><td>35.20</td></tr><tr><td>„ Stationary</td><td>65.20</td></tr><tr><td>11Entertainment</td><td>4.20</td></tr><tr><td>12 Miscellaneous</td><td>2.40</td></tr><tr><td>„ Postage</td><td>5.80</td></tr><tr><td>„ Repairs</td><td>43.20</td></tr></table>	Sept 2015	Rs.Ps.	15 balance in hand	125.90	„ Received from cashier to make up the imprest		„ Postage	15.40	„ Stationary	30.60	„ Entertainment	8.50	„ Travelling expenses	15.50	7 Miscellaneous expenses	3.50	„ Entertainment	8.40	„ Repairs	25.40	„ Postage	15.60	10 Entertainment	11.70	„ Travelling	35.20	„ Stationary	65.20	11Entertainment	4.20	12 Miscellaneous	2.40	„ Postage	5.80	„ Repairs	43.20	M4.03	A
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(6 x 7 = 42 marks)